Brazil Macro Monthly

Copom on hold, for now

- The US economy is cooling, although we do not see signs of a recession. We see three 25-bps cut this year (two cuts before). EM currencies depreciated due to global risk aversion and the reversal of JPY carry trade positions, but we expect a partial rebound.
- In Brazil, our 2.2% projection for 2024 GDP growth is biased upwards due to better-than-expected Q2 results. Our expectation for 2025 GDP remains at 1.7%, slightly below potential.
- With the increase in revenue, we have revised our central government deficit projection from 0.5% to 0.4% of GDP this year and from 0.6% to 0.5% in 2025. We now believe that the government should not change the target this year, but that additional spending restraint will be necessary.
- The BRL has been volatile due to domestic and global factors. We kept our projection of 5.40 reais per dollar for YE2024, anticipating some accommodation of risk premium ahead. Risks are tilted to the upside, though.
- We revised our forecast for IPCA inflation to 4.1% (4.0% before). For 2025, we kept the forecast at 4.3%. The forward-looking scenario, however, is challenging – given a weaker exchange rate, heated labor market, and expansionary fiscal policy.
- Under the hypothesis of our baseline scenario (BRL, in particular) the Copom's IPCA projections shouldn't deviate much from the target over the relevant horizon. Moreover, there is the risk of a global recession. Thus, we believe the committee will opt for stay on hold for a long time. A tightening cycle would be likely in case the FX and/or inflation expectations continue to rise further.

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XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	2.2	1.7
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	7.3	7.5
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	4.1	4.3
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	10.50	10.50
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	5.40	5.40
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.7	-0.9
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.4	-0.5
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.6	-0.7
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	77.7	80.3
Trade Balance (USD Bn)	29.6	35.7	42.3	51.5	92.3	84.0	89.0
Exports (USD Bn)	225.8	210.7	284.0	340.2	343.8	350.0	362.0
Imports (USD Bn)	196.2	175.0	241.7	288.7	251.5	266.0	273.0
Current Account (USD Bn)	-65.0	-24.9	-40.4	-40.9	-21.7	-34.5	-31.0
Current Account (% GDP)	-3.5	-1.7	-2.4	-2.1	-1.0	-1.6	-1.4
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	67.0	73.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.1	3.2
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,180	2,290
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,529	12,243

* Excludes court-ordered payments beyond the limits and aid to RS

Source: IBGE, BCB, Bloomberg, XP

Foreword – Amid high uncertainty, we stay put with our forecasts

Global economic outlook became more complex, with the increasing probability of a recession in the US, change of gears in Japanese monetary policy and heightened geopolitical tensions. Brazilian asset prices reacted - aligned with other EM - with BRL surpassing 5.8 reais per dollar and the stock markets erasing July's gains.

Markets turmoil is certainly negative in absolute terms for Brazil, but it may have some positive collateral effects. It is difficult to imagine the Copom hiking rates (as the markets are pricing in) under a global recession and while other central banks (particularly the Fed) are cutting rates. On growth, Brazilian manufacturing is more dependent on domestic demand than on exports and should not be severely hit. Moreover, geopolitical tensions tend to prevent commodity prices from falling much.

Domestically, good news and bad news. On the positive side, growth keep surprising to the upside, on both manufacturing and services sector. Trade balance surplus will be solid once again this year and inflation readings remain benign, despite running above target. On the negative side, fiscal expenditures are growing much above the legal limits. Revenues, despite strong, have not been enough to balance the budget. Moreover, inflation expectations are on the rise, drifting further away from the 3.0% target.

Our current forecasts look reasonable, considering the high degree of uncertainty. Thus, we barely changed the scenario this month. We keep our forecast at 5.40 reais per dollar, a bit stronger than current price, which is consistent to still elevated terms of trade and a widening interest-rate differential. Our forecast for 2024 IPCA inflation was slightly revised to 4.1% from 4.0%, while the projection for 2025 remains at 4.3%.

Under those circumstances, we believe the Copom may consider but will eventually decide to not hike rates. Unless the exchange rate and inflation rise again due to (mainly) domestic factors.

What if the global scenario evolves to a hard landing one, triggering another spike in global risk aversion? On the one hand, the BRL would depreciate further, pushing inflation to above the target range. On the other hand, the world economy would be close or in a recession, with negative effects on commodity prices and cost-push inflation.

How would the Brazilian Central Bank react under those circumstances? Tough call. The Copom would find itself between a rock and a hard place: missing the inflation target or risking a recession hiking rates while the rest of the world would be cutting.

We prefer to see if that will indeed happen before risk answering.

Global backdrop – Monetary policy hits turbulence

Francisco Nobre

Fed gains confidence to cut rates amid dovish data. June inflation data in the US was benign yet again, alleviating concerns from the start of the year. Q3 data will be key to determining whether the improvement is sustainable or not. Nonfarm job gains and wage growth have moderated considerably, and the labor market seems better balanced now (graph), which should ease pressures on services prices ahead.

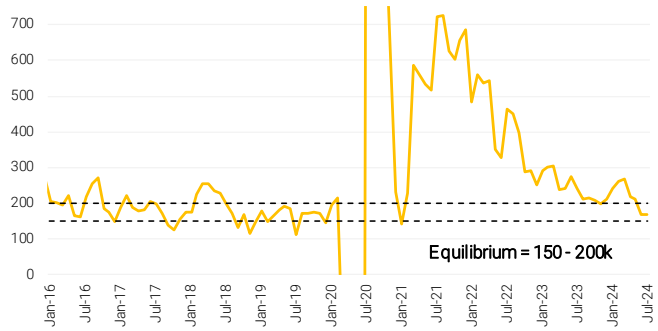
Overall, the data shows that the economy is cooling in response to tight monetary policy. We do not see signs of a recession so far, although it is a risk that cannot be ruled out. In fact, the fear that the Fed may be behind the curve intensified, leading markets to price a faster easing cycle.

We see three 25-bp cuts this year. Unless there are concerning signs of a recession, the Fed will likely favor a gradual approach to its easing cycle. Inflation remains above target, and the annual change in core PCE prices is expected to edge up in the next two prints, increasing the bar for a faster pace. In the case of clear weakness in the employment data, the Fed may opt to act faster. In any case, we continue to see the neutral level at 3.5%.

Central banks in Europe started their easing cycles with a hawkish tone. The ECB is poised to continue adjusting the level of monetary policy restrictiveness at a quarterly pace. However, the economic outlook has become more challenging recently amid additional stickiness in services inflation and fiscal concerns - requiring interest rates to remain restrictive for longer. In the UK, the BoE lowered rates for the first time in its August meeting. The decision was very tight (5-4) and authorities should also proceed with a gradual adjustment amid sticky services inflation and solid growth dynamics. Rate cuts in the US helped the case for rate cuts ahead, although caution is warranted.

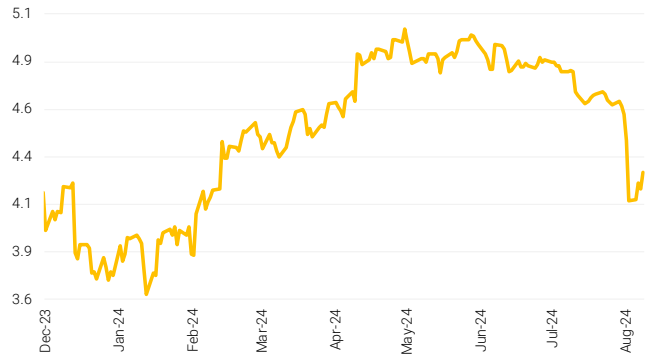
Geopolitical risks to limit the fall in commodity prices. Despite geopolitical tensions in the Middle East, Brent oil prices plummeted by around 10% since our last report, owing chiefly to growing concerns of a recession in the US – the world's

Labor market data in the US consistent with equilibrium and not weakening
Change in Nonfarm Payroll. 3MMA (Thousands)



Source: BBG, XP

The market is pricing in a faster easing pace by the Fed
Fed funds rate implied by interest rate swaps, Dec24 (annual rate, %)



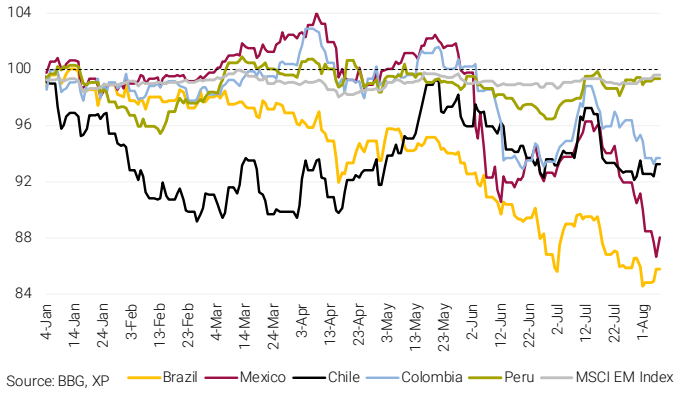
Source: BBG, XP

largest oil consumer. Weak data in the manufacturing sector in the US and China exacerbated fears of decreased oil consumption. Lower oil prices may contribute to lower global price pressures in the near term. Still, persistent geopolitical risks should prevent oil prices from dropping materially.

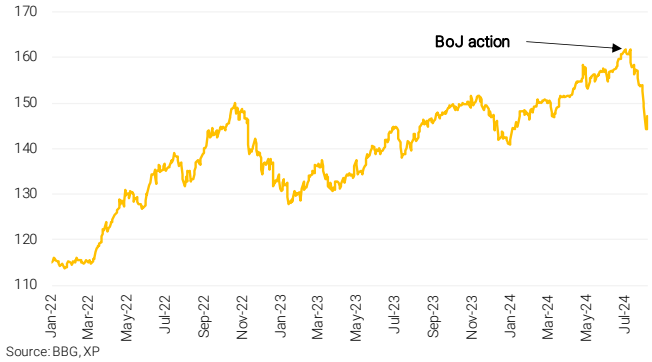
Geopolitical and trade tensions are likely to contribute to a more inflationary environment. The fear of increased trade barriers between China and developed countries (USA and Europe) led exporters to respond by rushing to get their goods to market before the tariffs are enforced. Demand for shipping containers increased substantially, forcing port delays and freight price increases (graph). If persistent, shipping bottlenecks may affect Chinese and global businesses that are trade-dependent. This event, by itself, will probably not significantly increase global price pressures, especially considering the abovementioned offsetting forces. However, it reinforces our long-standing view that geopolitical and trade tensions are likely to contribute to a more inflationary environment around the globe compared to the pre-pandemic period.

EM currencies depreciate due to global factors. Lower DM rates would normally be good news for EM currencies. However, rising fears of recession in the US increased risk aversion, negatively affecting these currencies. The MXN was impacted the most due to Mexico's strong ties with the US. Also highly relevant, the Bank of Japan unexpectedly raised its interest rate from between 0% and 0.1% to 0.25% — the highest level in 15 years. The decision forced rapid unloading of "carry trade" operations over the past few days, intensifying the EM currency depreciation. A partial rebound is expected, although we see the FX remaining volatile and hostage to the global environment.

Latin American currencies depreciate amid US recession fear and the reversal of JPY carry trade positions
Exchange rate index. Jan/2024=100 (upward move = appreciation)



JPY partially recovers of its value following rate hike and currency intervention by the Bank of Japan
USD/JPY exchange rate



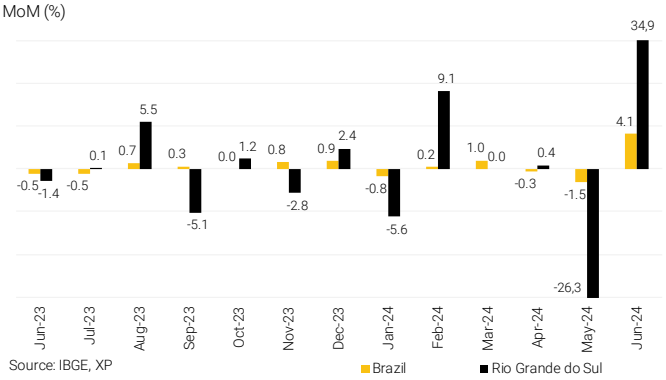
BRAZIL – Copom on hold, for now

Activity – Stronger than expected (again)

Rodolfo Margato

Solid GDP growth in 2Q, despite the natural disaster in Rio Grande do Sul. Activity indicators have surprised to the upside in recent months, reinforcing the scenario of consumption resilience and investment recovery. For example, the strong increase in industrial production in June more than offset the

Strong recovery in industrial production after the impact of floods in RS
MoM (%)



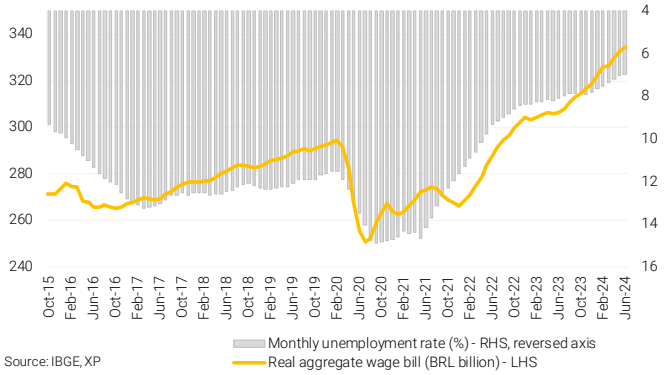
contraction recorded in the previous month, which had been significantly impacted by floods in the South region. Retail also showed decent results, with emphasis on the sales of essential items (e.g. food, beverages, and pharmaceuticals). For further information, see our special report Recovery after the storm: Updated estimates for the impact of floods in the South region (link). Hence, we estimate a 0.7% QoQ increase for 2Q GDP (2.3% YoY), that is, a growth pace close to that registered in 1Q (0.8% QoQ; 2.5% YoY).

Income and credit remain on an upward trend. Recent data has confirmed the scenario of a tight labor market. The Brazilian unemployment rate was below 7% in June (monthly and seasonally adjusted data), the lowest level in ten years. The employed population and real wages remain solid, despite some moderation at the margin. Real household disposable income is expected to grow by around 6% this year. In addition, credit market transactions, both for individuals and companies, show favorable dynamics in the short term. Total outstanding loans should rise by approximately 7% in 2024, adjusted by inflation.

Our projection for 2024 GDP growth, currently at 2.2%, is tilted to the upside. Stronger-than-anticipated activity in 2Q and robust domestic demand – especially household consumption – explain the upward asymmetry around our annual economic growth forecast. GDP should remain in positive territory throughout the second half of the year, although we see a mild slowdown in the wake of reduced fiscal stimulus and tightening financial conditions. We await the release of the official 2Q GDP data (on September 3rd) to possibly adjust our base case.

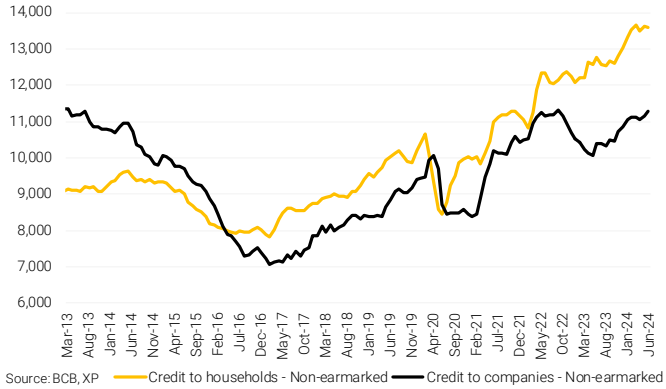
For 2025, our forecast remains 1.7%. We expect GDP growth to be slightly below potential next year. The more moderate increase in real income combined with high interest rates for a prolonged period (see section on Monetary Policy) are likely to slow down domestic demand throughout 2025, particularly the consumption of durable goods and fixed assets investments.

Labor market remains tight, with the unemployment rate at its lowest level in ten years and a strong increase in real income
Seasonally adjusted data



Source: IBGE, XP

Credit concessions remain on a solid growth path
Real daily average, seasonally adjusted 3MMA (BRL million)



Source: BCB, XP

Public finances – Spending freeze does not prevent the pressure on fiscal framework

Tiago Sbardelotto

Central government primary balance showed the worst result for the first semester since 2020. Net revenue grew by 8.5% in real terms in the first half of the year, but this was not enough to offset the 10.5% increase in spending, leading the central government to reach a year-to-date deficit of BRL 68.7 billion - the worst result since 2020. Of high relevance, general government gross debt (GGGD) rose sharply to 77.8% of GDP in the month, the highest level since November 2021.

Some revenue-boosting measures are working, some are not. On the one hand, the taxation of exclusive funds and investments abroad and limits on tax compensations were more successful than expected. On the other hand, revenue from changes to investment subsidies and CARF should be far below the estimates. In aggregate, revenue-raising measures have performed well, but below what is needed to meet the target (see table).

We reduced our primary deficit forecast due to better tax collection. In addition to the effectiveness of some measures, the macroeconomic framework – stronger economic activity, higher inflation, and a depreciated exchange rate - should support revenue collection this year. We have, therefore, revised our projection for this year from **a deficit of 54.5 billion BRL (0.5% of GDP) to 47.5 billion BRL (0.4% of GDP).** The deficit rises to BRL 78.0 billion (0.7% of GDP), when including the extraordinary spending linked to the Rio Grande do Sul natural disaster, which totals BRL 30.5 billion.

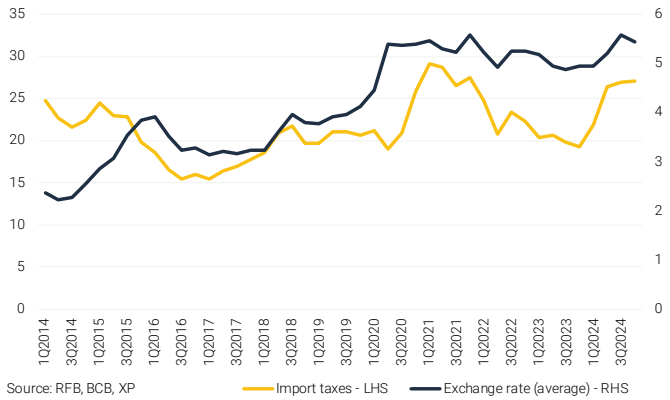
2025 also looks a bit better. With the revision of the revenue-raising measures, part of the effects expected for this year were postponed to next year, which led to an improvement in the primary balance. As a result, we now estimate a deficit of BRL 67.0 billion (0.5% of GDP) compared to BRL 78.5 billion (0.6% of GDP) in the previous month, excluding court-ordered debt payment above the constitutional sub-limit. As for the full primary result indicator (including court-ordered debt payment), we forecast a deficit of BRL 109.1 billion (0.9% of GDP) - compared to BRL 120.1 billion (1.0% of GDP) in the previous report.

Revenue raising measures (BRL Bn)

	Government		XP	Collected up to June
	2th Bimonthly report	3th Bimonthly report		
Change on ICMS subsides	25.9	25.9	12.1	NI
Online bets taxation	0.7	0.7	2.0	-
E-commerce taxation	-	-	1.0	-
Exclusive funds taxation	13.3	13.8	15.5	13.8
Taxation of investments abroad	5.6	7.3	7.3	7.3
Change of interest on equity (IoE)	-	-	-	-
Credit recovery at the board of tax appeals (CARF)	55.6	55.6	20.0	-
Tax transactions	43.2	43.2	15.0	3.2
Review of railway concession contracts	10.8	10.8	6.0	-
Payroll tax exemption	-15.8	-15.8	-5.4	-6.3
Change in events sector tax exemption (PERSE)	-2.5	-10.5	-5.0	-5.8
Social security tax relief for municipalities	6.0	-	-	-
Limiting tax compensations	24.0	24.0	24.0	14.0
Petrobras extraordinary dividends	12.0	12.0	12.0	6.0
Total	**178.8**	**167.0**	**104.5**	**32.1**

Source: Bimontly report, XP
NI: Not informed

Higher exchange rate should favor tax collection
Import taxes (BRL million), exchange rate (USD/BRL)



Source: RFB, BCB, XP

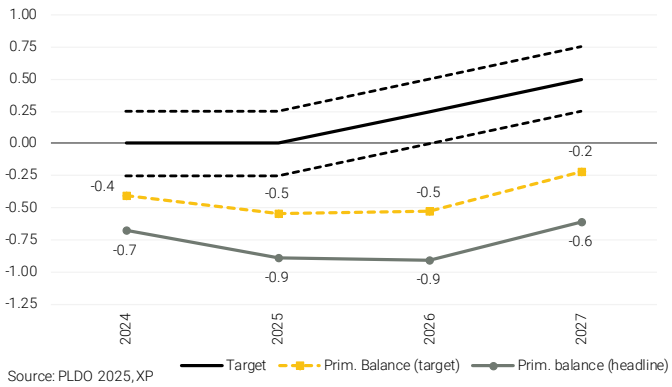
Expenditure growth adds pressure to the fiscal framework. Social security benefits grew by 4.6% above inflation up to June, already discounting the effects of the bonus salary and court-ordered debt, while BPC/LOAS showed a surprising growth of 16.2% in the same period. This trend adds pressure to discretionary spending and threatens the legal limit set by the fiscal framework.

Additional spending restraint will be necessary. The government announced BRL 15 billion in spending restraint, of which BRL 11.2 billion refers to so called "blockage" to comply with the spending limit, and BRL 3.8 billion to the "spending cut" to comply with the primary balance target. Although positive, we understand this won't be enough. As per our estimates, an additional BRL 6 billion blockage would be necessary to comply with the spending limit and a BRL 38.8 billion spending cut (or BRL 18.8 billion, counting a BRL 20 billion on expenditure that should not be executed) to reach the lower limit of the primary balance target. Faced with the need for strong expenditure containment - around 25 billion - we believe that the government will face two options: 1) change the target to a deficit of 0.25% of GDP; or 2) maintain the target, betting on better-than-expected revenue and a much lower budget execution but running the risk of not meeting the target. **In our opinion, the odds are leaning towards the second option.**

Regional governments' numbers are getting better. In June, regional governments recorded a BRL 1.1 billion surplus. This result was driven by the strong performance of the states, which more than offset the higher expenses of the municipalities due to the electoral cycle. We continue to have a positive outlook for states and municipalities this year, in the wake of the recovery in ICMS collection and higher transfers from the federal government. As a result, we estimate a deficit of BRL 66.1 billion in 2024 (0.6% of GDP) and BRL 83.8 billion in 2025 (0.7% of GDP) for the consolidated public sector.

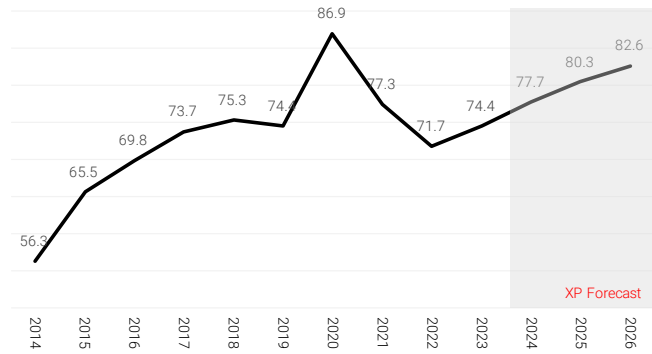
Public debt increased substantially in June with higher interest rates. The nominal deficit reached 9.9% of GDP in the 12-month period. Strong nominal interest expenditure due to higher interest rates and losses on currency swaps put pressure on general government's gross debt. Our projections indicate that gross debt to GDP ratio should reach 77.7% in 2024 and 80.3% in 2025 (compared to 77.2% and 80.0% in the previous projection). The public sector's net debt, in turn, is expected to grow more moderately thanks to lower exchange

Achieving the primary balance targets remains a challenge
Primary balance (% of GDP)



Source: PLDO 2025, XP

Debt should rise, driven by interest payments
General government gross debt (% of GDP)



Source: BCB, XP

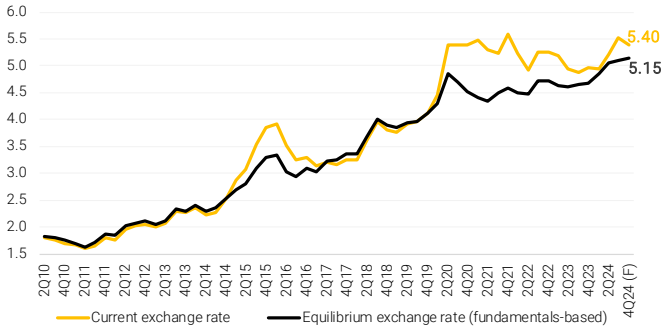
rate. We project the PSND/GDP ratio to end this year at 63.3% and next year at 65.7%.

External Accounts – We see some moderation in BRL risk premium ahead, but risks remain

Rodolfo Margato

The Brazilian exchange rate has fluctuated sharply in recent weeks. The exchange rate has oscillated between 5.40 and 5.80 reais per dollar since our last monthly report, published in early July. In addition to short-term volatility, the Brazilian currency has weakened by around 15% year-to-date, underperforming most of its emerging market peers. This dynamic reflects both local and external factors. On the domestic side, concerns about the sustainability of fiscal accounts and the conduct of monetary policy persist, despite recent signs of relief. Meanwhile, the global backdrop has become more adverse in recent weeks. The risk of recession in the US – thus, increased risk aversion – and the unwinding of carry trade operations with the Yen amid the Bank of Japan's interest rate hike exerted additional pressure on the exchange rate (see section on the Global Backdrop).

Brazilian exchange rate should remain above levels suggested by economic fundamentals
Quarterly average in nominal terms (BRL/USD)

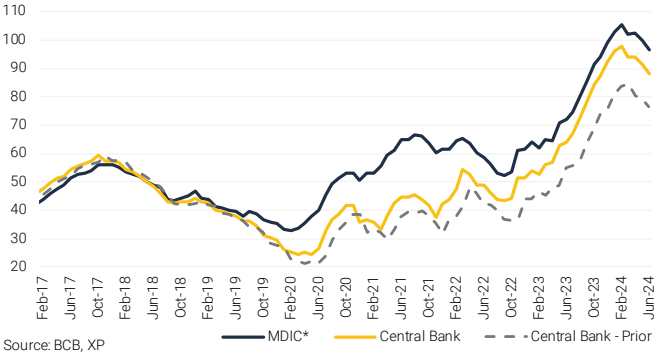


Source: IBGE, BCB, BBG, World Bank, Conference Board, XP

We kept our projection of 5.40 reais per dollar for YE2024, with some decompression of risks in the second half of the year. In our view, part of the risk premium incorporated into Brazilian assets should be permanent, and, therefore, the exchange rate will remain at more depreciated levels than suggested by economic fundamentals (between 5.00 and 5.20). We expect some easing in the coming months, in line with the loosening monetary policy in the US and lower global risk aversion. Therefore, we kept our forecast of 5.40 reais per dollar for YE2024, although recognizing upside risks.

The lower current account deficit reflects extraordinary review, while solid fundamentals remain. The Central Bank carried out an extraordinary methodological review of cryptoassets transactions in the balance of payments – reclassifying them from the trade balance to the capital account. Consequently, the current account deficit reduced from USD 30.8 billion to USD 21.7 billion in 2023, and from USD 21.2 billion to USD 14.7 billion from January to May 2024. The current account deficit is expected to increase in the coming months, mainly due to the rise in imports and the deterioration in the services

Gap between the Central Bank and MDIC trade balances narrows after methodological review
12M (USD Bn)

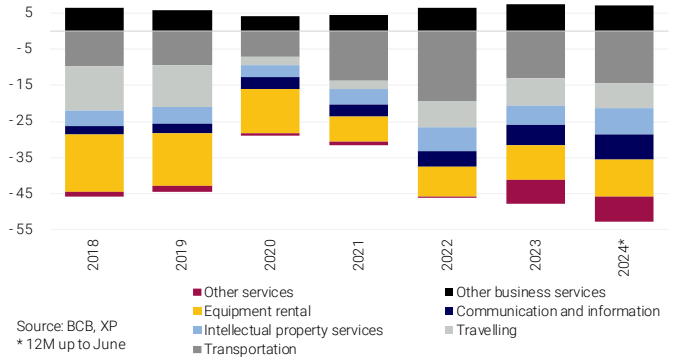


Source: BCB, XP
* MDIC: Ministry of Development, Industry, Trade and Services

account. We project -USD 34.5 billion for the end of 2024 (-1.6% of GDP). On the other hand, net inflows in Foreign Direct Investment (FDI) should remain at high levels (USD 67.0 billion or 3.1% of GDP), supporting our positive view of the external accounts.

Worsening of global economic activity poses risks to Brazil's trade balance. A sharper slowdown (or even recession) in the global economy could impact the balance of payments via (i) lower external demand, reducing the export volume; (ii) a drop in international commodity prices, which represent a large share of Brazilian total exports; and (iii) further depreciation of the exchange rate. These factors are treated as risks to our baseline scenario, which continues to forecast USD 84.0 billion for the 2024 trade balance.

Widening deficit in the services account, particularly the intellectual property account
12M (USD Bn)



Source: BCB, XP
* 12M up to June

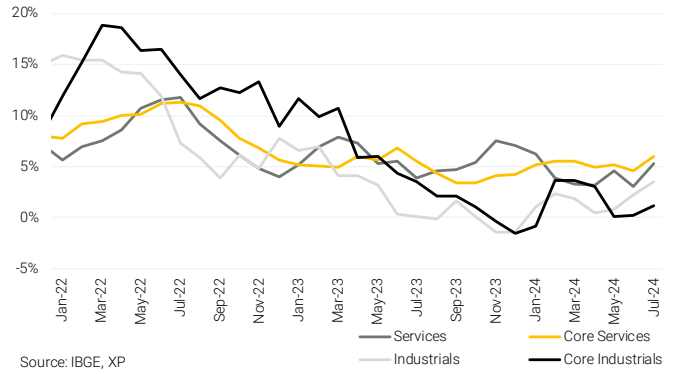
Inflation – Outlook remains challenging

Alexandre Maluf

The overall picture of current inflation has not changed significantly. Despite the market being surprised in the last two months by volatile items, especially airfares, the general picture of current inflation has remained unchanged overall since our last monthly report. We have been arguing that, starting this quarter, inflation for industrial goods would accelerate, given the normalization in commodity prices and the recent depreciation of the Real. In this regard, the July IPCA-15 has already shown the twelve-month inflation for that group accelerating from 0.6% to 1.3% - we expect it to end the year close to 3.0%. Furthermore, service prices continue to oscillate around 5% in other metrics, in line with what has been observed in recent quarters – we project services at 4.3% by the end of the year, below the underlying metrics, due to deflation in airfares.

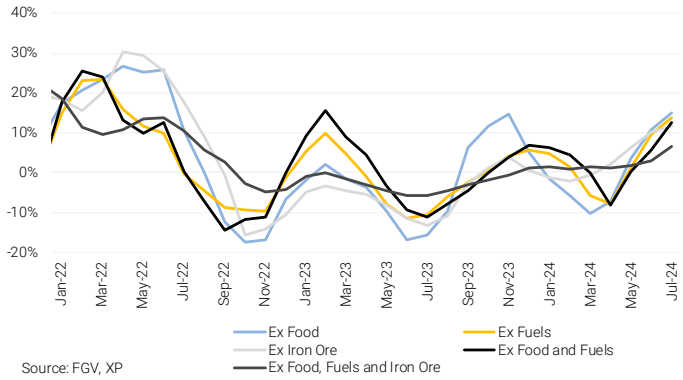
The standout feature of the recent inflation readings has been the rapid decline in food prices, especially fresh produce (such as vegetables, fruits, tubers, and legumes), due to more favorable weather conditions for such readings, following atypical heat waves in the country and heavy rains in the southern region. For further information, see our special report Recovery after the storm: Updated estimates for the impact of floods in the South region (link). We expect food inflation to

Services inflation remains elevated, while good prices deflation is over
3MSAAR



Source: IBGE, XP

PPIs accelerated indicating higher IPCA inflation ahead
PPI Cores, 3MSAAR



Source: FGV, XP

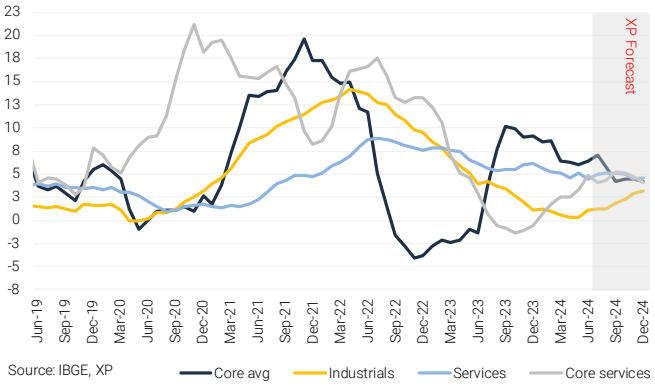
remain in deflationary territory throughout the third quarter and rise again at the end of the year, closing near 5%.

However, the prospective scenario continues to indicate higher inflation. As we have been arguing in our recent reports, the main factors conditioning prospective inflation indicate higher inflation ahead. Firstly, the recent level of the exchange rate, if consolidated at this more depreciated level, should further pressure tradable goods prices, especially industrials. We have been observing a normalization in the prices of goods in the IPAs measured by FGV (see the figure on the side).

In the same direction, the labor market remains heated, spurring rising real wages and backed by an expansionary fiscal policy - factors that our models suggest will keep service inflation at a level inconsistent with the inflation target, around 5%. Adding to the abovementioned risks, medium-term inflation expectations (2025 and 2026) continue to distance from the Central Bank's target.

We revised our inflation forecast to 4.1% for 2024 (from 4.0%). We incorporated the readjustment of cigarette prices and taxes into our scenario, which will take place in September and November, with an upward impact of 12 bps. We recognize the more challenging outlook, but recent inflation readings, despite surprises in volatile items, have followed the trend we expected. **For 2025,** we had changed our projection in the last monthly report, reflecting our revision for the exchange rate – **we maintain our projection at 4.3%.**

We forecast inflation at 4.1% in 2024
IPCA 12M (%)



Source: IBGE, XP

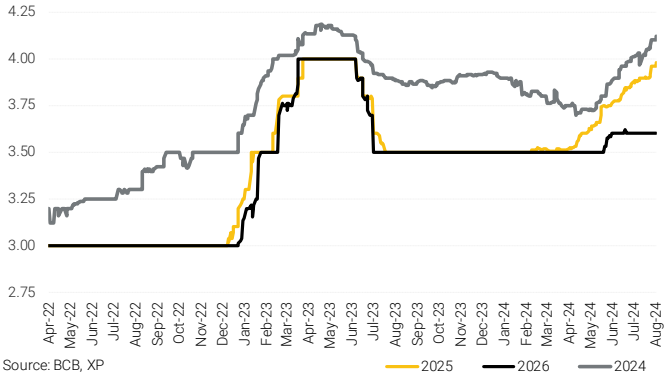
Monetary Policy – Hikes ahead? FX and inflation expectations are key

Caio Megale

Inflation drivers continue to suggest higher pressure ahead. Tight labor market, weaker exchange rate, expansionary fiscal policy and rising inflation expectations suggest the balance of risks for inflation is asymmetric to the upside. The risk of a global recession, on its turn, is a downside risk for inflation. Still, even the Copom members recognize that "there are more upside risks for inflation" (latest Copom minutes).

Above the target. The Copom inflation projections are above the target throughout all forecast horizons. The same applies to market forecasts, according to the Focus survey.

Inflation forecasts continue to trend higher
Median market expectation from Focus Survey (%)



Source: BCB, XP

Are the conditions for a tightening already there? The key question among market participants has been: do the inflation drivers need to worsen further for the Copom to hike rates? Or do they need to improve to avoid a tightening? The official communication is not clear about that.

In our baseline scenario, we see the BRL stabilizing below 5.50 - a bit stronger than today's value - and inflation expectations around 4.0%. According to our estimates, those inputs would keep the Copom's forecast not too much above the target in the relevant horizon. This, along with the risk of a global recession, would keep the Copom on pause for the rest of the year (and 2025), in our view.

Thus, we keep our view of a flat policy rate until 2025 yearend.

What would trigger a hike? As highlighted in the minutes of the last monetary policy meeting, the Copom (unanimously) would not hesitate to raise the benchmark interest rate to ensure inflation convergence to the target if it deems it appropriate. If the exchange rate continues to weaken and/or inflation expectations rise (due to the weaker FX, tight labor market, higher current inflation, etc), the Copom's inflation forecast would move further away from the target, demanding a policy reaction. This scenario is becoming more likely, particularly with the asymmetric balance of risks for inflation.

XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	2.2	1.7
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	7.3	7.5
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	4.1	4.3
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	10.50	10.50
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	5.40	5.40
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.7	-0.9
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.4	-0.5
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.6	-0.7
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	77.7	80.3
Trade Balance (USD Bn)	29.6	35.7	42.3	51.5	92.3	84.0	89.0
Exports (USD Bn)	225.8	210.7	284.0	340.2	343.8	350.0	362.0
Imports (USD Bn)	196.2	175.0	241.7	288.7	251.5	266.0	273.0
Current Account (USD Bn)	-65.0	-24.9	-40.4	-40.9	-21.7	-34.5	-31.0
Current Account (% GDP)	-3.5	-1.7	-2.4	-2.1	-1.0	-1.6	-1.4
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	67.0	73.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.1	3.2
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,180	2,290
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,529	12,243

* Excludes court-ordered payments beyond the limits and aid to RS

Source: IBGE, BCB, Bloomberg, XP

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